Practice workbook · Branding and why it matters

What a brand is and why a strong brand matters for recognition, loyalty and pricing.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-09

1. Question 2 · part c · 3 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part c only.

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2 *M&M* is constantly working to maintain the standards and quality of its products.

(a) State **one** non-financial objective for *M&M*.

(1)

(b) State **one** reason why *M&M* could dismiss an employee.

(1)

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(c) Explain **one** reason why branding is important to businesses.

(3)

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1. Question 2 · part c · 3 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part c only.

(d) Explain **one** way businesses ensure that all employees have equal opportunities.

(3)

(e) Explain **one** reason why businesses maintain the quality of their products.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part c · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

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2. Question 1 · part c · 1 mark

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Further practice · Attempt part c only.

Six months later, *Yellow* placed a repeat order for the same number of T-shirts at the same price. The exchange rate now is 1 Rupee = 0.042 AED.

(iv) What would be an effect on *Yellow* of the change in the exchange rate?

(1)

- ☒ **A** Lower profit
- ☒ **B** Higher variable costs
- ☒ **C** Cash flow deteriorates
- ☒ **D** Could charge lower prices

(v) Which **one** of the following is a long-term source of finance?

(1)

- ☒ **A** Sales revenue
- ☒ **B** Reinvested profit
- ☒ **C** Trade credit
- ☒ **D** Bank overdraft

Figure 1 shows financial information in Rupees for 2015 to 2016.

Year ending	2016	2015
Revenue	13 399 000	12 880 000

Figure 1

(vi) What is the percentage increase in revenue from 2015 to 2016?

(1)

- ☒ **A** 4.03%
- ☒ **B** 5.19%
- ☒ **C** 6.44%
- ☒ **D** 8.69%

(b) Define the term **crowdfunding**.

(1)

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2. Question 1 · part c · 1 mark

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Further practice · Attempt part c only.

(c) Define the term **branding.**

(1)

(d) State **one** diseconomy of scale that could affect *Yellow*.

(1)

Yellow could use the cost plus method of pricing for the clothes it sells.

(e) Calculate the selling price of a T-shirt that costs *Yellow* 252 (AED) if the mark-up was 17%. You are advised to show your working.

(2)

AED

(f) Explain **one** advantage for a business of having loyal customers.

(3)

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2. Question 1 · part c · 1 mark · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) State **one** fringe benefit *Aude Rose* could offer its employees.

(1)

(b) State **one** reason why branding is important to *Aude Rose*.

(1)

(c) Explain **one** impact of ineffective communication on a business.

(3)

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3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part a · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a only.

2 (a) State **one** reason why branding is important to *Saha*.

(1)

(b) State **one** task that an employee working in the production department at *Saha* might do.

(1)

(c) Explain **one** disadvantage for a business of using flow production to produce its goods.

(3)

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4. Question 2 · part a · 1 mark · Working and answer

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5. Question 1 · part b · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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1 *China Cycle Tours (CCT)* is a business that provides bicycle tours. It offers guided bicycle tours around the city and countryside of Shanghai, China. It was started in 2008 with the slogan, 'One world, Two wheels.'

CCT employs eight tour guides who are all bilingual, speaking Chinese and English. The guides help tourists in all aspects of their tour including bookings for accommodation, food, activities and visits to cultural sites. *CCT* delivers the bicycles directly to the hotels where the tourists are staying and provides free maps and locks for the bicycles.

CCT has received good reviews and ratings online. Customers have commented that the bicycle tours are extremely enjoyable and that the guides help them to experience the true culture of China.

(a) (i) Which **one** of the following is the production process that relies more on machinery than on labour?

(1)

Select **one** answer.

- ☒ **A** Kaizen
- ☒ **B** Job production
- ☒ **C** Just-in-time
- ☒ **D** Capital intensive

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(ii) Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?

(1)

Select **one** answer.

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

5. Question 1 · part b · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(iii) Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?

(1)

Select **one** answer.

- ☒ **A** Paying overhead costs sooner
- ☒ **B** Paying suppliers later
- ☒ **C** Increasing the rate of pay for its employees
- ☒ **D** Decreasing the net cash flow

(iv) Which **one** of the following is a financial business aim?

(1)

Select **one** answer.

- ☒ **A** Challenge
- ☒ **B** Independence
- ☒ **C** Survival
- ☒ **D** Control

CCT is considering purchasing six electric bicycles from England to increase the variety of bicycles it offers to its customers.

Each bicycle costs £550.

The exchange rate is £1 = 9.35 Chinese yuan (CNY).

(v) Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?

(1)

Select **one** answer.

- ☒ **A** 550.00 CNY
- ☒ **B** 3 300.00 CNY
- ☒ **C** 5 142.50 CNY
- ☒ **D** 30 855.00 CNY

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5. Question 1 · part b · 1 mark

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Further practice · Attempt part b only.

Figure 1 is a financial extract from *CCT*.

	CYN
Total revenue	1 444 304
Total labour costs	750 288
Total material costs	234 465
Other costs	46 893

Figure 1

(vi) Using **Figure 1** which **one** of the following is correct for *CCT*?

Select **one** answer

(1)

- ☒ **A** It made a loss of 1 031 646 CYN
- ☒ **B** It made a loss of 412 658 CYN
- ☒ **C** It made a profit of 412 658 CYN
- ☒ **D** It made a profit of 1 031 646 CYN

(b) Define the term **branding.**

(1)

(c) Define the term **autonomy.**

(1)

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Turn over ▶

5. Question 1 · part b · 1 mark · Working and answer

Working and answer

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6. Question 2 · part b · 1 mark

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Further practice · Attempt part b only.

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2 (a) State **one** factor *Four Fitness* may consider when choosing a location for its new gym.

(1)

(b) State **one** reason why branding is important to *Four Fitness*.

(1)

(c) Explain **one** advantage to a business of using total quality management.

(3)

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6. Question 2 · part b · 1 mark · Working and answer

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7. Question 3 · part b · 2 marks

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Further practice · Attempt part b only.

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3 One aim of *Jimmy Choo's* is to ensure that all its employees are well motivated and fully trained to carry out the jobs they are employed to do. This is to reduce the number of employees leaving the business.

(a) Define the term **person specification**.

(1)

(b) Outline **one** reason why branding is important to *Jimmy Choo*.

(2)

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A *Jimmy Choo* handbag costs $1 590 (US dollars) to manufacture. It sells for $2 450.

(c) Calculate, to two decimal places, the percentage increase on this *Jimmy Choo* handbag when it is sold. You are advised to show your working.

(2)

..... %

7. Question 3 · part b · 2 marks · Working and answer

Working and answer

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8. Question 1 · part g · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

☒ **A** Provision of services

☒ **B** Exchange of goods

☒ **C** Extraction of raw materials

☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

☒ **A** The person can buy supplies from any supplier

☒ **B** The person is given support from an established business

☒ **C** The person is guaranteed a set wage

☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

☒ **A** 6.63%

☒ **B** 15.09%

☒ **C** 33.75%

☒ **D** 50.94%

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8. Question 1 · part g · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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8. Question 1 · part g · 6 marks

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Further practice · Attempt part g only.

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(b) Define the term **commission**.

(1)

(c) Define the term **revenue**.

(1)

(d) State **one** possible reason why *HRMW* has a short span of control.

(1)

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8. Question 1 · part g · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

Figure 2 shows *HRMW*'s estimated revenues.

Year	Revenue in Rupee (000)
2020–2021	85 083
2021–2022	92 322

Figure 2

(e) Calculate, to two decimal places, the percentage increase from 2020–2021 to 2021–2022. You are advised to show your working.

(2)

.....%

(f) Explain **one** reason why a business would sponsor an event.

(3)

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8. Question 1 · part g · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part g only.

(g) Analyse the benefit to *HRMW* of branding the products it sells.

(6)

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(Total for Question 1 = 20 marks)

8. Question 1 · part g · 6 marks · Working and answer

Working and answer

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9. Question 1 · part g · 6 marks

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Further practice · Attempt part g only.

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1 *Irsi Chocolatier* is a chocolate shop in Brussels, the capital city of Belgium. There are many other chocolate shops nearby. Opened in 1989 by the Corne family the business now has four directors and three employees. Florent Corne is the Managing Director with three other family members as Directors. *Irsi Chocolatier* opens from Tuesday till Saturday. The shop sells a variety of handmade chocolates and jelly fruit sweets. It delivers locally and has a website for information purposes only.

(a) (i) Which **one** of the following functions is responsible for public relations?

Select **one** answer.

(1)

- ☒ **A** Human resources
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Production

(ii) Which **one** of the following is the difference between cash inflow and cash outflow?

Select **one** answer.

(1)

- ☒ **A** Opening balance
- ☒ **B** Net cash flow
- ☒ **C** Closing balance
- ☒ **D** Cash flow forecast

(iii) Which **one** of the following is the sector that converts raw materials into products?

Select **one** answer.

(1)

- ☒ **A** Public
- ☒ **B** Tertiary
- ☒ **C** Primary
- ☒ **D** Secondary

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9. Question 1 · part g · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part g only.

(iv) Which **one** of the following is an example of a good?

Select **one** answer.

(1)

- ☒ **A** Motor vehicle
- ☒ **B** Financial advice
- ☒ **C** Car washing
- ☒ **D** Gardening

In 2021 *Irsi Chocolatier*'s revenue was €311 625. Each year it has seen its revenue increase.

(v) Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?

Select **one** answer.

(1)

- ☒ **A** €317 857.50
- ☒ **B** €319 415.63
- ☒ **C** €320 973.75
- ☒ **D** €322 531.88

Irsi Chocolatier's monthly fixed costs are €950 and variable costs per luxury box of chocolates are €2.60.

(vi) Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?

Select **one** answer.

(1)

- ☒ **A** 75
- ☒ **B** 76
- ☒ **C** 77
- ☒ **D** 78

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9. Question 1 · part g · 6 marks

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(b) Define the term **limited liability**.

(1)

(c) Define the term **social enterprise**.

(1)

(d) State **one** way *Irsi Chocolatier* could use the Boston matrix.

(1)

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A customer buying five boxes of chocolates for a total of €75.50 is given a 6% discount.

(e) Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. You are advised to show your working.

(2)

€.....

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9. Question 1 · part g · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part g only.

(f) Explain **one** benefit for a business that uses test marketing.

(3)

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9. Question 1 · part g · 6 marks

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(g) Analyse the importance of branding for *Irsi Chocolatier*.

(6)

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(Total for Question 1 = 20 marks)

9. Question 1 · part g · 6 marks · Working and answer

Working and answer

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